

10.4 Annex 4: Stakeweight Formula

Each staker has to:

1. Provide a pledged stake s in WalletConnect tokens.
2. Provide a time lock commitment T_L between 1 and 208 weeks.

Both together define the actual stake-weight:

$$w(t) = f(s, T_L) = s \cdot \begin{cases} w_{\min} & \text{if } T_L < 1 \\ (1 - w_{\min}) \frac{T_L}{208} + w_{\min} & \text{if } 1 \leq T_L \leq 208 \\ 1 & \text{else} \end{cases} \quad (1)$$

Where:

- $w(i, t)$ is the stake-weight of staker i at time t
- s_i is the amount of tokens staked by staker i
- T_L is the time lock commitment in weeks

The stake-weight increases linearly with the time lock commitment, with a maximum bonus of 100% for a 4-year (208 weeks) commitment.